

price is shooting up, they reason, so why not join the trend, especially now that it is cheaper?

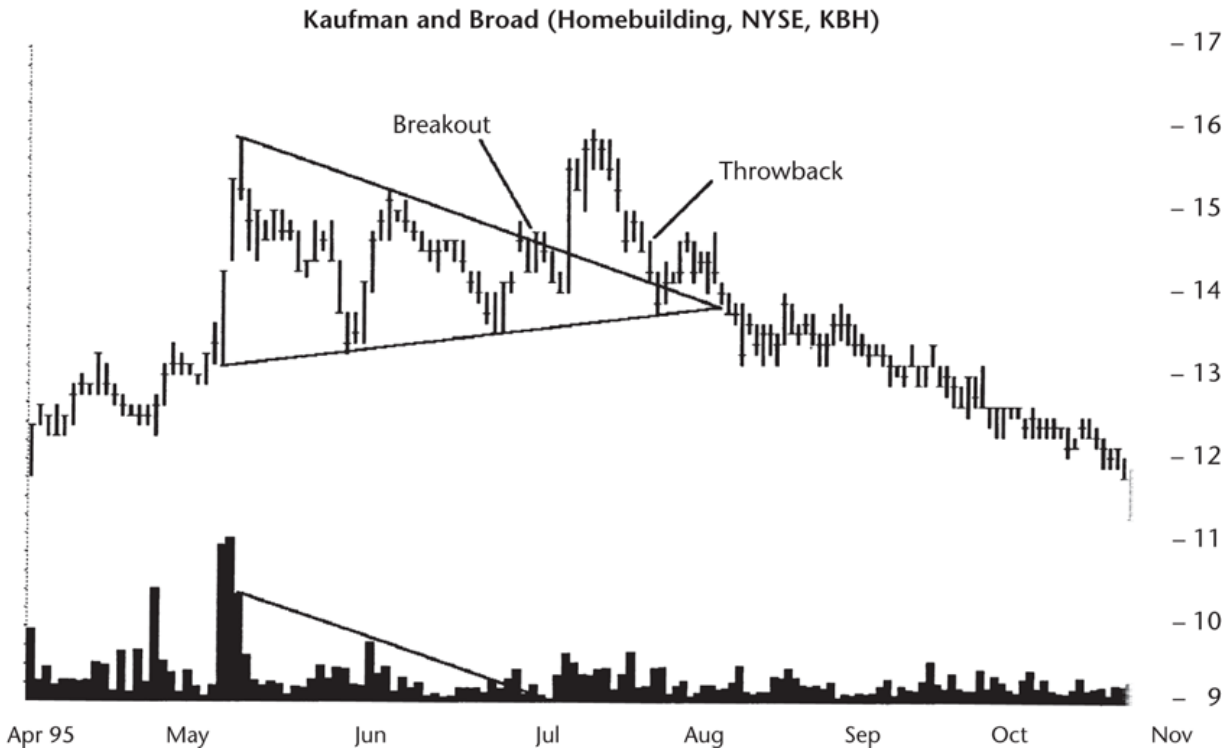


Figure 66.1 A symmetrical triangle with a small price rise.

Such rationalizations increase demand and send the stock up again, but this time the momentum players who missed a chance to sell earlier do so now. Others, believing that there may not be enough upward momentum to carry the stock to the old high, sell, too. The selling pressure halts the price rise at a lower level and turns it around.

Value investors see the stock drop, and since the fundamentals have not changed, buy it on the way down. Some add to their positions at a lower price, and others buy it for the first time. The buying may force price to move horizontally for a bit instead of straight down. Eventually, though, a higher low forms not so much from anxious buyers as from a dearth of sellers.

Throughout the trend, volume is decreasing. Fewer and fewer shares change hands, and it becomes easier for the stock to change direction. Eventually, though, a large buy order comes in and price rises. When the stock pierces the top trendline, it takes out the orders that investors have placed to buy